CORPORATE LAWS AND PRACTICES

Suggested Answers
March-April 2025

Answer to the Question# 1(a):

Board Resolutions to be passed in the Board of Directors meeting:

A. Increase in Authorised Share Capital

"**RESOLVED THAT** pursuant to the provisions of Section 53, 56 and other applicable provisions, if any, of the Companies Act, 1994, the consent of the Board of Directors of the Company be and is hereby accorded, subject to the approvals of shareholders in the General meeting, to increase the Authorized Share Capital of the Company from the existing Tk. 1,00,00,000 (Taka One crore) divided into 1,00,000 (One Lac) equity shares of Tk. 100 each to Tk. 100,00,00,000 (Taka One hundred crores) divided into 1,00,00,000 (One crore) equity shares of Tk. 100 each by creation of additional 99,00,00,000 (Ninety nine crores) equity shares of Tk. 100 each ranking Pari Passu in all respect with the existing equity shares of the Company."

B. Alteration in the Capital Clause of Memorandum of Association of the company

"**RESOLVED THAT** pursuant to the provisions of Section 12, 53, 56 and other applicable provisions, if any, of the Companies Act, 1994, the consent of the Board of Directors of the Company be and is hereby accorded, subject to the approvals of shareholders in the General meeting, for substituting Capital Clause of the Memorandum of Association of the Company with the following clause.

"The Authorised Share Capital of the Company is Tk. 100,00,00,000 (Taka One hundred crores) divided into 1,00,00,000 (One crore) equity shares of Tk. 100 (Taka One hundred) each."

Shareholders' Resolution to be passed in the General Meeting (3/4th majority approval required)

Increase in Authorised Share Capital and Alteration in the Capital Clause of Memorandum of Association of the company.

Special Business

To consider, and if thought fit, to pass with or without modification(s), the following resolution as a special Resolution:

"**RESOLVED THAT** pursuant to the provisions of Section 12, 53, 56 and other applicable provisions, if any, of the Companies Act, 1994, the consent of the members of the Company be and is hereby accorded as recommended by the Board of Directors to increase the Authorized Share Capital of the Company from the existing Tk. 1,00,00,000 (Taka One crore) divided into 1,00,000 (One Lac) equity shares of Tk. 100 each to Tk. 100,00,00,000 (Taka One hundred crores) divided into 1,00,00,000 (One crore) equity shares of Tk. 100 each by creation of additional 99,00,00,000 (Ninety nine crores) equity shares of Tk. 100 each ranking Pari Passu in all respect with the existing equity shares of the Company."

"**RESOLVED FURTHER THAT** the Memorandum of Association of the Company be altered in the following manner i.e. existing Capital Clause of the Memorandum of Association of the company be deleted and the same be substituted with the following new Capital Clause:

"The Authorised Share Capital of the Company is Tk. 100,00,00,000 (Taka One hundred crores) divided into 1,00,00,000 (One crore) equity shares of Tk. 100 (Taka One hundred) each."

"RESOLVED FURTHER THAT The Managing Director and/or the Company Secretary of the Company be and is hereby authorised to sign, file, and submit all necessary forms, documents, and returns with the Registrar of Joint Stock Companies and Firms (RJSC) and to do all such acts, deeds, and things as may be necessary to give effect to this resolution."

Answer to the Question# 1(b):

i) As per section 11 Ka of the Company Act 1994, One person Company must write "One Person Company or OPC" as an integral part of its name. So, River Software Ltd. shall not be registered / incorporated as OPC rather if the name clearance is allowed from the office of the Registrar of joint Stock Companies and Firms, it may be "River Software OPC";

ii) As per section 392 Kha of the Company Act 1994 amended in 2020, only a natural person shall be the director of OPC. So, "River Hardware Ltd." shall not be qualified to be a director of the proposed OPC;

iii) The paid-up capital for OPC shall be minimum of BDT 25 lacs to maximum of BDT 5.00 crore as per section 392 Ga of the said act. So here the proposed business based on the capital requirements, is not qualified to incorporate as OPC;

iv) As per section 392 Uma, the sole shareholder of OPC shall be its director and is allowed to appoint CEO or other employees for its Management.

Answer to the Question# 1(c):

(i) No. The company can approve only the loan sanction letter through resolution by circulation. Not all kinds of business can be transacted by circular resolution, only routine / operational corporate issues resolved through resolution by circulation which are usually provided in the Articles of Association of the company. So, the financial statements and the appointment of a director require a formal board meeting. The Chairman should consider calling a board meeting after the Eid holidays to address these matters.

(ii) All resolutions passed by circulation must be recorded in the minutes of the immediate following board meeting and it will be incorporated as part of the minutes of the said Board Meeting. A resolution passed by circulation has the same legal effect as a resolution passed at a board meeting.

Answer to the Question# 2(a):

Under the Bangladesh Securities and Exchange Commission (BSEC) regulations, dividends that remain unclaimed for a period of three years or more from the date of declaration/approval or record date (Interim dividend) are transferred to the Capital Market Stabilization Fund (CMSF). This fund is managed by the BSEC and is intended to stabilize the capital market.

Given that Ms. J's dividend has been unclaimed for more than five years, it is likely that the amount has already been transferred to the CMSF. However, shareholders can still claim their unclaimed dividends from the CMSF as per Bangladesh Securities and Exchange Commission (Capital Market Stabilization Fund) Rules, 2021 by following the prescribed procedures:

Steps Ms. J should:

1) Contact ABC PLC: Ms. J should first contact ABC PLC to confirm whether her unclaimed dividend has been transferred to the CMSF.

2) Submit a Claim to CMSF: If the dividend has been transferred, Ms. J will need to submit a claim to the CMSF along with the recommendation from the issuer i.e. ABC PLC. This typically involves providing proof of her shareholding and the unclaimed dividend amount.

3) Follow CMSF Procedures: Ms. J should follow the specific procedures outlined by the CMSF for claiming unclaimed dividends.

Answer to the Question# 2(b):

Legal Framework: According to the Bangladesh Securities and Exchange Commission (BSEC) Corporate Governance Code, listed companies must have at least one female independent director on their board. This directive aims to promote gender diversity and ensure varied perspectives in corporate governance.

Current Compliance: Ornate Bangladesh PLC is currently not compliant with the BSEC Corporate Governance Code, as it does not have a female independent director among its 3 independent non-executive directors.

Board Reconstruction: To comply with the BSEC regulations, Ornate Bangladesh PLC needs to appoint at least one female independent director. As per BSEC Corporate Governance Code, $1/5^{th}$ of the total number of

directors or minimum 02, whichever is higher, shall be independent directors. Assuming the maximum number of directors is nine, the company can reconstruct its board as follows by replacing one of the male independent directors with female member:

1) **Identify Qualified Female Candidates:** Ornate should search for qualified female candidates who meet the criteria for independent directors.
2) **Appoint Female Independent Director:** Once a suitable candidate is identified, Ornate can appoint her as an independent non-executive director after getting consent from BSEC, ensuring other compliances with the BSEC Corporate Governance Code.

Answer to the Question# 2(c):

Insider trading is considered a serious offense under the Securities and Exchange Ordinance, 1969. Whoever contravenes or found guilty shall be punishable with imprisonment for a term which may extend to five years, or with fine up to BDT 50 lakh, or with both.

Sputnik PLC can establish, publish, and enforce effective procedures applicable to purchase and sale of its securities by officers, directors, employees and their family members and other insiders designed not only to prevent improper trading but also to avoid any question of the propriety of insider purchases or sales. One such procedure might require corporate insiders to restrict their purchases and sale of the company's securities with following the release of the annual statements, or other releases setting forth the financial condition and status of the company.

In addition, the board of directors of the issuer of listed securities shall hold the board of directors' meeting involving price sensitive decision either after the trading hour or on a holiday.

Answer to the Question# 2(d):

As per Regulation 94 of Schedule I of the Companies Act, a committee may convene and adjourn meetings as deemed appropriate. Any question arising during a meeting shall be resolved by a majority vote of the members present, and in case of an equality of votes, the Chairman shall have a second or casting vote. In this case, the total number of directors is eight, with four voting against the agenda, resulting in an equal division of votes. Consequently, the Chairman holds the discretion to exercise his casting vote to approve or reject the agenda.

Furthermore, as per Section 104 of the Companies Act, if Mr. X is appointed as a Director, he cannot automatically assume the position of Technical Director with the proposed salary because this section prohibits a director from holding an office of profit without the consent of the company in a General Meeting. Since the role of Technical Director, along with the associated remuneration, qualifies as an office of profit, his appointment must first be approved by the Board and subsequently ratified by the shareholders in a General Meeting before it becomes effective.

Answer to the Question# 3(a):

As an auditor, it is crucial for me to understand my responsibilities and the independence provisions outlined in the Financial Reporting Act 2015. My primary duty is to provide an objective assessment, ensuring the integrity of financial reporting. Upholding transparency, accountability, and integrity, I must promptly report any identified irregularities, despite potential repercussions. This fulfils my professional obligations and maintains trust in the company and the audit profession. I must remember that as an auditor, my role is to provide an unbiased and accurate assessment, aligning with my responsibility to report irregularities.

As per section 37 of the Financial Reporting Act 2015, the independence of the auditors while carrying out responsibilities is as follows:

1) An enlisted auditor will perform his/her duties independently and he/she will not do any work contrary to the audit practice code made by the Council or will not be involved in any such activity as the enlisted auditor.

2) The Council may review the specific procedures for providing necessary assistance and information about the audit practices by the auditor enlisted by regulation.

Under the circumstances, the enlisted auditor in public interest entity, identified serious irregularities in relation to inflating share price. Hence, the enlisted auditor should immediately do the following as per section 36 of the said act:

i) Inform the details descriptions of the irregularities in writing to the members of the Board of Directors of Public Interest Entity and its officers; and

ii) Request every person referred to above individually and jointly to take appropriate actions in relation to such irregularities.

If the concerned Public Interest Entity i.e. ABC PLC fails to take any action regarding the irregularities despite being informed in writing by the enlisted auditor, the auditor may consider reporting the matter to the Council, the Professional Accounting Institution, the Controlling Agencies and any other statutory body or Parliament established under the law or rules as per the law.

Answer to the Question# 3(b):

The following are the eligibility criteria for an applicant seeking enlistment or renewal of enlistment as an auditor under the Financial Reporting Council (Enlistment of Auditor or Audit Firm) Rules, 2022:

(a) The applicant must be a citizen and permanent resident of Bangladesh.

(b) The applicant shall be a member of the relevant professional accountancy body.

(c) Where applicable, the applicant must possess an up-to-date audit practice certificate issued by the relevant professional accountancy body or institute as evidence of audit practice.

(d) The applicant shall not have been convicted by a competent court of any criminal offense.

(e) The applicant must be physically and mentally capable.

(f) The applicant shall not be employed by any organization other than an audit firm registered with the Council, nor be employed by a public interest entity, nor engage in any business that could interfere with the provision of independent auditing services.

(g) The applicant shall not reside outside Bangladesh without the Council's permission and shall not abstain from providing auditing professional services for a consecutive period exceeding six months.

(h) The applicant shall pay the enlistment or renewal fees as prescribed in paragraph 6(1) of the Rules 2022.

Answer to the Question# 4(a) (i):

In the banking and finance sector, non-performing loans (NPLs) and loan defaults are related terms that have slightly distinct meanings. While both involve borrowers not meeting their repayment commitments, the remedies available to banks for addressing these situations can vary based on specific circumstances and regulatory frameworks. NPLs refer to loans that are seriously past due, typically 90 days or more. On the other hand, a loan default occurs when the borrower fails to meet the agreed-upon repayment terms, including both principal and interest, as stipulated in the loan agreement.

In the mentioned case, when Hope Textile Ltd. missed three consecutive monthly repayments (April, May, and June 2024), the loan was classified as an NPL. However, when Hope Textile Ltd. failed to respond to the notice and did not make any payments within the stipulated 30-day period, it was considered a loan default.

Answer to the Question# 4(a) (ii):

Rural Bank PLC, in accordance with the provisions of the Bank Company Act 1991 (amended in 2023) can initiate the following legal proceedings to recover the outstanding loan amount:

b) Enforcing Security Interest: The bank should first enforce the security interest on the machinery and inventory of ABC Textiles Ltd. to recover the dues.

c) Appointment of a Receiver: The court can appoint a receiver to take control of the secured assets (machinery and inventory) of ABC Textiles Ltd. This receiver will facilitate the recovery process.

d) Resolution and Recovery: The receiver will sell the machinery and inventory through a public auction. The proceeds from the auction will be utilized to repay the outstanding loan amount, including interest and legal fees. Any surplus amount will be returned to ABC Textiles Ltd., while any shortfall will remain as a liability for the company.

Answer to the Question# 4(b):

The actions raise significant governance concerns under the Bank Company Act 1991 and Bangladesh Bank directives as follows:

a) The approval of a substantial loan by "Tech Bank Ltd." CEO, Mr. Y, to "Tech Real Estate Ltd." - a company in which he is a major shareholder - violates the principles of integrity, transparency, and conflicts of interest mandated by the Bank Company Act 1991.

b) The loan approval further violates Bangladesh Bank directives on lending, which mandate thorough credit assessments and consideration of borrowers' financial viability. The high debt-to-equity ratio and low current ratio of Tech Real Estate Ltd., as per the directives, indicate financial instability and liquidity issues, rendering the loan approval a clear violation of prudent lending practices.

c) The overstatement of collateral value in the loan approval process directly contradicts Bangladesh Bank's directives on collateral management. These directives mandate accurate assessment of collateral value to ensure loan security. The 50% overstatement not only violates the directives but also exposes the bank to substantial risk, as it hinders full loan recovery through asset liquidation.

In summary, Mr. Y's actions and the loan approval to Tech Real Estate Ltd. raise governance concerns under the Bank Company Act 1991 and Bangladesh Bank directives. Conflicts of interest, disregard for credit assessment, and overstatement of collateral value underscore the necessity for stricter adherence to banking sector laws and directives.

Answer to the Question# 5:

i) To ensure transparency and good governance, whistleblowing policies are widely practiced by banks, financial institutions (FIs), and other organizations around the world. However, such practices are not yet widely adopted in Bangladesh. Recognizing the importance of whistleblowing, Bangladesh Bank has issued the "Code of Conduct for Banks & Non-Bank Financial Institutions" through BRPD Circular No. 16, dated November 6, 2017. This Code mandates all banks and NBFI's to adhere to ethical standards, including the implementation of a whistleblowing mechanism under the name "Speak up Policy." The circular further recommends the development of detailed guidelines to ensure the effective implementation of whistleblowing policies within the financial institutions.

So, decision regarding introduction of whistle blowing policy along with detailed guidelines would encouraging matter which will make this company more compliant.

ii) No finance company shall grant any loans or other finance facilities without collateral to any of its directors or their family members or any businesses which is controlled by its directors or their family members. As per section 25 of the Finance Company Act 2023, the maximum loan limit to any persons including its directors or director's company cannot exceed 30% of the institution's paid-up capital and reserves.

In this case, with a paid-up capital and reserve of BDT 400 crore, the maximum allowable loan to Mr. A and Mr. B's business would be BDT 120 crore (400 × 30%) at any given time with adequate collateral. Furthermore, Finance company shall not grant any loans or other finance facilities on the security of shares in its company.

iii) As per section 24 of the Finance Company Act 2023, no finance company shall accept deposits from any natural person up to a maximum limit of Taka 50 lakh in a single name or a maximum of Taka 1 (one) crore in a joint name or, from time to time, beyond the limit prescribed by Bangladesh Bank. So, company shall not introduce any scheme for the high-net-worth individuals (HNIs) beyond the amount as mentioned. For, corporate, there is no restriction.

iv) As per section 26 of the Finance Company Act 2023, the maximum limit for Capital market investment is 25% of the institution's paid-up capital and reserves and for Northern Finance PLC. the maximum amount for investment will be BDT 400 x 25% = BDT 100 Crore.

Answer to the Question# 6(a):

The claim made by Future Life Insurance regarding guaranteed returns is misleading and in violation of the Insurance Act, 2010. This is because life insurance policies are inherently subject to market risks, and the actual returns can vary. The Act explicitly prohibits the use of false or misleading statements in promotional materials, aiming to protect consumers from deceptive practices.

Promotions that make misleading claims, such as the guarantee of a 15% annual return on investment irrespective of market conditions, can erode consumer trust and have detrimental financial consequences for policyholders who were misled by these false claims. It is essential for insurance companies to provide accurate and transparent information to potential customers, ensuring that they are well-informed about the risks and potential returns associated with their policies.

By making such misleading claims, Future Life Insurance not only breaches the provisions of the Insurance Act, 2010 but also undermines the integrity and credibility of the insurance industry as a whole. Compliance with the Act is crucial to maintain consumer confidence and to ensure fair and ethical practices within the insurance sector.

Answer to the Question# 6(b):

In order to achieve the objectives of the Insurance Act 2010, as per section 17, Insurance Development and Regulatory Authority (IDRA) may form a Central Rating Committee (CRC) and in consultation with the committee, the Authority shall determine the rates of premium for non-life insurance business which the insurers shall be bound to comply with.

The Chairman of the Authority shall be the Chairman of the CRC and the number of its members, functions and its management shall be determined by the Act.

If necessary, the government may dissolve the CRC at any time.

Answer to the Question# 7(a):

Under Section 121 of the Bangladesh Labour Act 2006, the employer is responsible for timely payment of wages. In the case of Mr. S, although he is employed by a contractor, Company XYZ still holds some responsibility. If the contractor fails to pay wages, the principal employer can be held accountable for ensuring workers receive their due wages. Mr. S can take the following steps to seek remedies:

1) **Claim Submission:** Mr. S should formally submit a claim to the Labour Court under Section 132 of the Act, which addresses deductions or delays in wage payment.

2) **Labour Court Intervention:** The Labour Court can direct Company XYZ to pay the wages if the contractor fails to do so. Penalties can also be imposed on the contractor for their obligations.

3) **Principal Employer's Liability:** As per Section 121, if the contractor fails to pay wages, the principal employer (Company XYZ) is liable to pay and can later recover the amount from the contractor. Mr. S has the right to claim wages from Company XYZ and the amount shall be adjusted from the contractor later on.

Answer to the Question# 7(b):

Sl no	Leave Descriptions	Entitlements as per Bangladesh Labour Act, 2006 (Amended in 2018).
01	Weekly holidays (sec 103)	(a) One and a half day in a week in the case of a shop or commercial establishment or an industrial establishment (b) One day in a week in the case of factory and establishment; shall be entitled to one day of 24 consecutive hours holiday in a week in the case of road transport services. (c) No deduction shall be made from the wages of a worker for any holiday under the aforesaid clause (a) and (b).
02	Compensatory week holiday (sec 104)	Where a worker is deprived of the weekly holiday as per section 103, he/she shall be allowed, as soon as circumstances permit, compensatory holidays of equal number to the holidays so deprived of.
03	Casual Leave (sec 115)	10 days with full wages in a calendar year, and if such leave is not availed for any reason, it shall not be accumulated and carried forward to the succeeding year.
04	Sick Leave (sec 116)	14 days with full wages except newspaper workers in a calendar year. Such leave shall not be accumulated and carried forward to the succeeding year.
05	Annual Leave with wages (sec 117)	Every adult worker who has completed 1 year of continuous service in an establishment shall be allowed during the following period of 12 months leave with wages on the basis of the work of the preceding 12 months at the following rate: 1 day for every 18 days work, in case of a shop or commercial or industrial establishment or factory or road transport services. For Tea plantation, 1 day for every 22 days work and for newspaper worker 1 day for every 11 days work.
05	Festival holidays (sec 118)	11 days of festival holiday with wages in a calendar year. If a worker is required to work on any festival holiday, they are entitled to two day's compensatory holidays with full wages, and a substitute holiday without deduction of wages.

---The End---